Zerodha Coin SIP case: Part 2 metric breakdown

How a SIP works in Coin today

An instalment succeeds only if a linked mandate can debit the full amount from the bank's opening balance on the SIP date. A failed debit is not retried, and a Zerodha SIP is never cancelled for failing, so it can look active in the app while counting as inactive in our metric.

Coin has two kinds of SIP. **Zerodha SIPs** are managed by Zerodha and can be paused, modified or stepped up. **AMC SIPs** are registered with the fund house; they cannot be paused, modified or stepped up, and the AMC cancels them after three failed instalments in a row (since 1 April 2024).

Stage	How it works in Coin	What it means for the metric
1. Set up	Pick fund, amount and date. Set up at least 2 days before the date, or it starts next month	A first-timer can wait up to a month for the first instalment
2. Mandate	UPI Autopay: instant, ₹1 test debit, up to ₹1 lakh a day. Bank e-NACH: up to 3 working days. No paper mandates or current accounts. A new bank needs a new mandate	A SIP with no linked mandate sends no debit request at all
3. SIP date	Money goes from the bank to BSE's clearing corporation and the order runs on BSE StAR MF. The opening balance that day must cover the full amount; money added later doesn't count	When the salary lands versus the SIP date decides success
4. A failed debit	The order stays "processing" until 5 business days later, then fails. It is not retried. The bank may charge a penalty	One failure = one missed month. For a monthly SIP that makes the user inactive under the 30-day rule

Stage	How it works in Coin	What it means for the metric
5. Repeated failures	Zerodha SIPs stay live after any number of failures; AMC SIPs are cancelled after three	A Zerodha SIP can fail for months while still listed as active: a silent lapse
6. AMC SIP with no mandate	Orders still trigger, show under Pending payments, must be paid by hand, and are deleted after 5 business days	A manual step every month
7. Pause, modify, delete	Zerodha SIP: pause or resume before 5:30 PM the day before; modify; delete. Mandate-linked SIPs lock 2 days before an instalment. AMC SIP: none of these	Pause and delete sit in the same menu. The help pages don't say how long a pause lasts or whether a single instalment can be skipped
8. What's changing	Zerodha plans to let people buy mutual funds inside Kite "within the next few months" (August 2026); Coin stays	The solution must work in Coin and in Kite

What the help pages don't say: whether Coin warns before a debit or tells the user after a failure. An investor asked for exactly that on Zerodha's forum in June 2024: a reminder the day before, and clarity on bank charges (forum post). Interviews must check what users actually see.

Sources: Zerodha support pages on mandates, UPI Autopay, failed-payment cancellation, funds not debited, AMC SIPs, SIP payments, modify or cancel, pause; Business Today.

What Part 1 tells us

In public posts, the SIP more often stops working than the investor decides to stop: failures outnumber deliberate stops 84 to 63.

- **What happened to the SIP.** Of 1,245 tagged posts, 267 say. 84 (31%) describe an instalment or order that failed or got stuck; 63 describe stopping, pausing, reducing or thinking of stopping; 73 kept going; 47 ask how to stop.
- **Why the failures happened.** Of the 84, 41 were app problems and 28 payment or mandate failures.

- **Market falls** are named as the trigger in 7 of 1,245 posts.
- **Theme ranking.** Payment, UPI and mandate failures rank first in every view tested (85 posts, 79 about Coin).
- **Coin's rules make failures quiet.** No retry, no cancellation, and no alert described in the help pages (previous section).

The problem traced

> A first-time investor's SIP stops working before they decide to stop. A debit fails: the balance is short on the date, the mandate isn't linked or has lapsed, or the app or order breaks. Coin doesn't retry and keeps the SIP listed as active, so the investor finds out late or never. Every failed month counts as inactive, and after a few the habit is gone.

What it is not. It is not mainly about market falls, and it is not about which fund to pick. Fund choice is off-limits in this case, and the product can do little about it anyway.

How sure we are. This is a hypothesis. Public posts over-represent people with problems. Only 18 posts are clearly from someone at their first instalment or first three months, so "first-time" is inferred, not observed. Interviews and Zerodha's own failure data would confirm or kill it.

The metric, defined

The metric, 12-month SIP retention, is the share of a month's first-time SIP starters who have at least one successful instalment, in any SIP, in the 30 days up to their 365th day.

Choices that keep it unambiguous

Term	Our definition	Why
First-time investor	First ever mutual fund order on this Zerodha account, and no outside holdings imported	Coin can't see other platforms unless the user imports them, so this slightly over-counts
Started	Date of the first successful instalment, not the registration	A SIP whose first debit never succeeds was never started. Those users are tracked as a separate leak (branch A)

Term	Our definition	Why
Active	At least one successful instalment in the last 30 days, as the case defines	A healthy monthly SIP can fall outside 30 days in a 31-day month or when a holiday moves the date. We also report "last scheduled instalment succeeded" to separate calendar noise from real lapses
Measured on	Day 365 after the start	One fixed point per user makes cohorts comparable

Other metrics considered

Metric	Role	Why not the main metric
12-month SIP retention (above)	**Main metric**	Set by the case. Catches deliberate stops and silent lapses alike
90-day SIP retention	Early read	The main metric takes a year to read. Most habits break early, so this one moves first
Instalment success rate	Input	Measures the mechanics (branch B) directly, but a user who deletes a SIP has no failed instalments
Months active out of 12	Secondary	Shows partial lapses the yes/no metric hides
SIP cancellation rate	Rejected as main	Coin never cancels a failing Zerodha SIP, so this misses the silent lapses that Part 1 points to
SIP book retention (₹ collected in month 12 ÷ the cohort's first instalments)	Companion check	Big investors dominate it; a first-timer with ₹500 counts for little

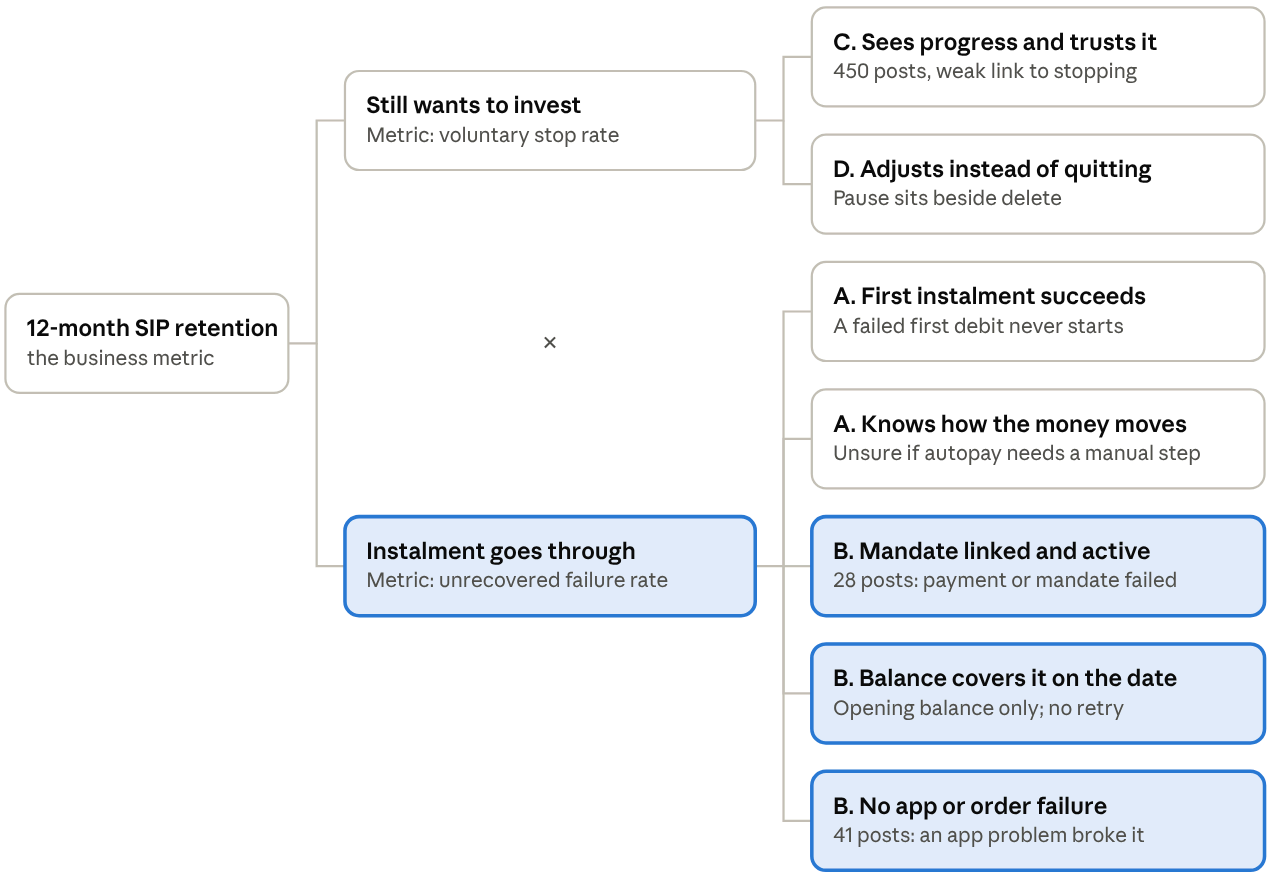
The decomposition

A first-timer is still investing at month 12 only if, every month, they don't choose to stop and their instalment isn't lost to a failure that is never recovered. So the metric splits into two product outcomes, each with its own metric: Still wants to invest (voluntary stop rate, v) and Instalment goes through (unrecovered failure rate, f). The first 90 days of both are read as 90-day SIP retention; branch A sits there.

12-month SIP retention ≈ $(1 - v_1)(1 - f_1) \times (1 - v_2)(1 - f_2) \times \ldots \times (1 - v_{12})(1 - f_{12})$, where v belongs to Still wants to invest (branches C, D) and f to Instalment goes through (branches A, B).

v (voluntary stop rate) in month t = users who delete or pause all their SIPs in month t ÷ users investing at the start of month t. **f (unrecovered failure rate) in month t** = (1 − instalment success rate) × (1 − failed-payment recovery).

Retention breaks two ways; failing instalments (B) carry the most evidence



metric tree · 2 outcomes, 7 behaviours

Read left to right: each outcome splits into the behaviours behind it, and branch B (highlighted) holds the most evidence. The product form treats the two outcomes as independent; they are not quite (a failed payment also dents trust), so it explains the metric rather than predicting it to the decimal.

Target segment size

Coin likely gets about 2.4 lakh first-time SIP starters a year (range 1.3 to 3.4 lakh), roughly 20,000 a month. Each point of 12-month SIP retention keeps about 2,400 of them investing, or about ₹9 crore a year of SIP money.

First-time SIP starters a year = U_new × s_Z × p_SIP

Value of 1 point = 0.01 × first-time SIP starters a year × ā × 12

Input	Value	Type	Source
U_new: net new unique mutual fund investors in India, FY26 (Apr 2025–Mar 2026)	71.6 lakh	Fact	SEBI data via Cafemutual
Unique investors in India	6.33 crore	Fact	Cafemutual
Zerodha mutual fund investors; SIP accounts (Aug 2026)	30 lakh+; 56 lakh	Fact	Business Today
s_Z: Zerodha's share of new investors	4.7% (range 3–6%)	Assumption	Equal to its share of all investors: 30 lakh ÷ 6.33 crore
p_SIP: share of new investors whose first investment is a SIP	70% (range 60–80%)	Assumption	To be checked in the survey
ā: average monthly SIP	₹3,230	Derived	₹32,490 crore inflow ÷ 10.06 crore contributing accounts, Sep 2026 (Angel One)

Result: 71.6 lakh × 4.7% × 70% = 2.37 lakh a year. 1% of that is 2,370 investors; at ₹3,230 a month they put in ₹9.2 crore a year.

Why it matters to Zerodha. Coin charges no commission on direct funds (Zerodha), so the money is not fee revenue. The value is a customer who keeps a monthly reason to open Zerodha, and assets that stay on the platform as mutual funds move into Kite.

Industry context. In September 2026, 63.26 lakh SIPs were registered and 49.68 lakh were discontinued or completed: a stoppage ratio of 78.5% (Angel One). That ratio compares two flows in the same month, not one cohort over time, so it is not our metric. It does show that stopping is common across the market.

Weak points. First-time investors at Zerodha may be existing stock traders who are new only to funds, so their share of new investors could be higher than the 4.7% assumed. First-timers probably invest less than the ₹3,230 average. Zerodha's own cohort data would replace both assumptions.

Where the highest-potential opportunities lie

The biggest opportunity is branch B: instalments that fail without the investor knowing or being able to fix them. It scores highest in both views of the discovery engine, and Coin controls every step of it.

Each branch's score is the sum of the Part 1 theme scores mapped to it (reach × link to stopping × fixability × confidence), set so the top branch = 100. "Recent Coin" counts only Coin-specific posts from 2023 on.

Rank	Opportunity	Score: all posts / recent Coin	Evidence from the engine	Can Coin fix it?	Verdict
1	**B. Instalments keep working:** catch a failing debit before, during and after the SIP date	100 / 100	135 posts. 84 describe a SIP that failed or got stuck. "SIPs missed five times; no notice". "SIP auto-debit failed despite funds, and bank charged a return fee"	Yes: Coin owns the mandate, the debit and the messages	**Go.** Strongest and most stable signal

Rank	Opportunity	Score: all posts / recent Coin	Evidence from the engine	Can Coin fix it?	Verdict
2	**A. Starts well:** the first instalment and first 90 days	29 / 30	127 posts, but only 18 clearly from the first months. "Unsure if SIP auto-debits from bank or needs Coin transfers first"	Yes	**Go, but test in interviews.** First-timer specific; thin evidence
3	**D. Adjusts instead of quitting:** pause or reduce rather than delete	59 / 7	162 posts, mostly how-to questions. Drops out for recent Coin posts	Yes	**Watch.** Not robust
4	**C. Wants to continue:** sees progress, trusts the numbers	54 / 41	450 posts, but each links weakly to stopping. Market falls: 60 posts overall, 1 in recent Coin	Partly	**Later.** Big but diffuse
–	Which fund to pick	Excluded	143 posts	Not allowed	**Out of scope.** The case bars fund advice

Where A and B meet is likely the sharpest point. A first-timer has no habit yet and often doesn't know how the money moves, so their first failed instalment may be the one that ends it. That is a hypothesis for the interviews, not a finding.

What the engine cannot show. Silent lapses barely appear in posts: fewer than 10 posts describe instalments that were missed without the investor choosing to skip them. People don't post about what they never noticed. The case for B rests on the loud failures plus Coin's own rules (no retry, no cancellation), and needs Zerodha's failure data to size it.

Metrics to carry forward

Every metric below maps to one branch of the tree, so when the main metric moves we can say which branch moved it. All are computed for the first-time cohort unless stated. Part 7 picks the final few for the MVP.

Branch metrics (customer behaviour and product outcomes)

Metric	Branch	Formula	Why
90-day SIP retention	All	Cohort users with a successful instalment in days 61–90 ÷ cohort users	Moves first; most habits break early
Voluntary stop rate	C, D	Users who delete or pause all their SIPs in month t ÷ users investing at the start of month t	The metric for the outcome Still wants to invest
Unrecovered failure rate	A, B	(1 – instalment success rate) × (1 – failed-payment recovery), per month	The metric for the outcome Instalment goes through
First-instalment success	A	Users whose first scheduled instalment succeeded ÷ users who registered a first SIP	A failed first debit means the SIP never starts
Mandate linked at set-up	A	New SIPs with an active mandate at registration ÷ new SIPs	An unlinked SIP sends no debit at all
Days to first instalment	A	Median days from registration to first successful instalment	A long wait loses a first-timer
Instalment success rate	B	Successful instalments ÷ scheduled instalments	The direct measure of branch B
Failure mix	B	Failures for each reason (short balance, no mandate, bank rejection, technical) ÷ all failures	Tells us which fix matters most
Failed-payment recovery	B	Users whose next instalment after a failure succeeds ÷ users with a failure	Separates a blip from a lapse
Silent lapse share	B	Users with 2+ failed instalments in a row and a SIP still listed active ÷ users with a SIP listed active	The lapse Coin's rules allow and nobody sees

Metric	Branch	Formula	Why
Pause instead of delete	D	Pauses ÷ (pauses + deletes)	Shows people adjusting rather than quitting
Resume after pause	D	Paused SIPs resumed within 3 months ÷ paused SIPs	A pause that never ends is a slow stop
Reactivation	D	Lapsed users (no success for 60+ days) with a successful instalment within 90 days ÷ lapsed users	Brings back people already lost

Feature usage (basic metrics, final set in Part 7)

Metric	Formula	Why
Reach	Users who saw the feature ÷ eligible users	Did it get to the people it is for?
Adoption	Users who acted on it ÷ users who saw it	Is it useful?
Repeat use	Users who used it in 2+ months ÷ users who used it once	Does it last past novelty?

Business, customer and technology views

Metric	Angle	Formula	Why
SIP book retention	Business	₹ collected in month 12 ÷ ₹ of the cohort's first instalments	Money that stays on Zerodha
Zerodha retention	Business	Cohort users who log in to Coin or Kite in month 12 ÷ cohort users	Coin earns no commission; a kept customer is the value
SIP payment tickets	Business	Support tickets about SIP payments ÷ first-time users × 1,000	Cost of the problem, and of the fix

Metric	Angle	Formula	Why
Payment-complaint share	Customer	Posts tagged "payment and mandate failures" by the discovery engine ÷ relevant posts, monthly	The engine keeps working as a monitor after launch
Failure-resolution rating	Customer	Users rating 4 or 5 out of 5 after a failure is resolved ÷ users rating	Was the fix easy?
Debit success by rail	Technology	Successful debits ÷ debit attempts, for UPI Autopay and e-NACH separately	Finds the rail that fails more
Mandate activation	Technology	Mandates active within 3 working days ÷ mandates started	e-NACH can take 3 days and can fail
Alert delivery	Technology	Alerts delivered within 1 hour ÷ alerts sent	An alert that arrives late is no alert

Guardrails (must not get worse)

Guardrail	Formula	What it protects
Notification opt-out	Users who turn off SIP alerts ÷ users alerted	No alert fatigue
Failed debits per user	Failed debits ÷ cohort users	Pushing more mandates must not cause more bank penalties
Average SIP amount	₹ per successful instalment, cohort average	"Reduce instead of stop" must not shrink the money too much
Policy breaches	Messages that recommend a fund or use fear, FOMO or urgency ÷ messages sent, from a regular audit sample	The case rules; target 0%
Uninstalls and 1-star reviews	Uninstalls ÷ users; 1-star reviews ÷ reviews	The fix must not annoy people